

Persistent Records and Rehabilitation Incentives

Aayush Kadam

RESEARCH QUESTION

How does persistence of a public institutional record jointly affect discipline before an adverse event and productive rehabilitation afterward?

MODEL IN ONE PARAGRAPH

A finite-horizon dynamic control problem separates an institutional score from underlying productive quality. The score determines opportunity through a reduced-form schedule. A clean agent may take a privately beneficial harmful action; after an adverse event, the agent can invest in productive effort that raises future quality. Distinct score- and quality-persistence parameters isolate consequences produced by the record from mechanical persistence of fundamentals.

CORE CONTRIBUTION 1

There exists a nonempty open region in which greater score persistence strengthens ex ante discipline while reducing productive post-event effort. The result is regional, not global.

CORE CONTRIBUTION 2

At zero intrinsic quality persistence, different records can create different next-period quality through record-dependent effort. Repeated effort differences can propagate the gap over a finite horizon.

CLOSEST LITERATURE

Board and Meyer-ter-Vehn (2013); Bohren (2024); Bhaskar and Thomas (2019); Elul and Gottardi (2015); Liu and Skrzypacz (2014); Pei (forthcoming).

WHAT IS DIFFERENT

One institutional persistence parameter governs both pre-event discipline and post-event productive investment, while institutional record persistence is separated from intrinsic state persistence.

MAIN LIMITATION

The opportunity schedule is reduced form, the model is finite horizon, and the main comparative static is regional. The paper establishes neither a universal case for forgetting nor an optimal record duration.

SPECIFIC QUESTIONS FOR THE READER

Is the joint lifecycle theorem sufficiently distinct and interesting? Is the zero-intrinsic-persistence result informative rather than mechanical? Which assumption most limits publishability, and what single revision would improve the note most?